FREE FINANCING REPORT

# Funeral Home Financing Report

*Why This Sector Attracts Specialized Capital, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals*

**Prepared by K2 Commercial Finance**

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# Why Sponsors Pursue Funeral Home Financing

Funeral homes combine a durable, needs-based local business with real estate and a documented pre-need revenue base that lenders have grown comfortable underwriting. That combination — stable demand, active SBA lending, and a well-established M&A market — is exactly why funeral home financing has become a genuine, well-supported lending category.

- **Durable, relationship-driven demand.** With roughly 18,800 funeral homes operating nationally, the industry serves a large, needs-based market that lenders view as a source of real stability.
- **Strong dedicated SBA lending appetite.** Specialized SBA 7(a) lenders actively finance funeral home acquisitions, giving experienced operators genuine access to purpose-fit capital.
- **Rising cremation mix reshapes revenue, but doesn't eliminate it.** With cremation now the majority disposition method nationally, well-positioned operators are adapting service mix — memorial and reception services — to protect revenue per call.
- **An active, well-capitalized buyer pool.** Public consolidators and private-equity-backed platforms are actively acquiring alongside regional and independent operators using SBA financing, keeping demand for financeable deals strong.
- **Pre-need books add real, financeable value.** Well-funded pre-need trusts are treated as an asset by lenders, giving well-run operators a documented, forward-looking revenue base that supports both valuation and debt service.

That said, lenders scrutinize call volume trend, cremation mix, pre-need trust funding adequacy, and operator experience closely. A declining call count or an underfunded pre-need trust will stall a request regardless of how strong the real estate looks.

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# 2026 Market Outlook for Funeral Home Financing

The funeral home sector enters 2026 in a genuine structural transition — cremation has become the majority choice nationally — even as the underlying business remains large, stable, and highly acquisitive. The following figures outline where the market stands:

- Cremation is now the majority disposition method: the 2025 U.S. cremation rate reached 63.4% versus burial at 31.6%, and is projected to climb to roughly 82% by 2045 — a structural shift reshaping revenue per case across the industry.
  *Source: US Funerals Online, 2025/2026 cremation rate data*
- The U.S. funeral home market remains large and fragmented: roughly 18,800 funeral homes operated nationally in 2024, the large majority independently owned, creating a deep pool of acquisition and refinance opportunity.
  *Source: National Funeral Directors Association data, via CT Acquisitions, 2026 M&A Guide*
- Valuation multiples stratify sharply by call volume: micro operations under 150 annual calls trade at 3.5x to 5.0x EBITDA, while regional platforms handling 1,200 to 3,000 calls command 7.0x to 9.5x, and combination funeral-and-cemetery operations reach 6.5x to 10.0x.
  *Source: CT Acquisitions, 2026 M&A Guide*
- Real estate typically represents 20% to 40% of total enterprise value in a funeral home transaction, with the balance tied to the operating business, the pre-need book, and goodwill — a split lenders and buyers weigh carefully when structuring financing.
  *Source: CT Acquisitions, 2026 M&A Guide*
- Consolidation continues at scale: Service Corporation International (SCI), the largest public operator, generated approximately $4.2 billion in 2024 revenue across roughly 1,500 locations and spent about $115 million on acquisitions that year, while private-equity-backed platforms such as Foundation Partners Group, Legacy Funeral Group, and NorthStar Memorial Group remain active acquirers alongside SCI and the newly private Park Lawn.
  *Source: CT Acquisitions, 2026 M&A Guide*
- Pricing pressure is real: roughly 40% of cremation network providers raised prices in 2024–2025, with increases of $50 to $500 per package, driven by rising costs, new permit fees, and continued industry consolidation.
  *Source: US Funerals Online, 2025/2026 data*

**Bottom line for 2026:** Cremation's continued rise is reshaping revenue per case, not eliminating overall demand — the operators winning financing are the ones actively adapting their service mix rather than resisting the shift. The sector remains highly acquisitive, with strong dedicated SBA lending support and active public and private-equity consolidators, but valuation and financing still hinge heavily on call volume trend, cremation-mix strategy, and pre-need trust funding health.

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# Critical Financing Metrics for Funeral Home Properties

Lenders in this space underwrite the operating funeral service business as closely as the real estate. The following metrics most often determine whether a request moves forward:

1. **Call Volume Trend**
   The trailing two- to three-year trend in annual call count. Flat-to-rising volume commands premium terms and valuation; declining volume draws real discounts and scrutiny.

2. **Cremation Mix and Service Mix**
   The share of cremation versus burial cases, and the operator's ability to monetize cremation through memorial and reception services. National cremation rate ~63% (2025)

3. **Pre-Need Trust Funding Adequacy**
   Whether pre-need trusts are well-audited and adequately funded. A properly funded pre-need book prices as a genuine asset; an underfunded one is treated as a liability.

4. **Revenue Per Call**
   Average revenue generated per case, including merchandise attachment and reception or memorial services. A key lever for offsetting the shift toward lower-cost cremation.

5. **Operator Experience and Tenure**
   Documented experience and tenure managing a funeral service business. First-time or inexperienced operators typically face materially more conservative terms.

6. **Real Estate as a Share of Enterprise Value**
   The proportion of total transaction value attributable to the real estate versus the operating business, pre-need book, and goodwill. 20%–40% of enterprise value typical

7. **Debt Service Coverage Ratio (DSCR)**
   Net operating income measured against total annual debt service, generally comparable to other owner-occupied small-business real estate. 1.25x typical minimum

These metrics form the practical filter that separates funeral home financing requests that get funded from those that stall in underwriting.

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# Practical Framework & Getting It Right the First Time

## Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Business financial statements and tax returns (typically 2 to 3 years) are organized and current
- [ ] Call volume / case count history and revenue trends are documented
- [ ] Pre-need cases already booked and funded are clearly documented
- [ ] Facility capacity, condition, and any crematory or specialty services are detailed
- [ ] Operator experience and tenure in funeral service are presented
- [ ] Licensing and regulatory compliance documentation is current
- [ ] Existing debt schedule, entity documents, and organizational structure are ready
- [ ] Personal financial statements and credit information for owners/guarantors are current

## Common Reasons Funeral Home Financing Requests Underperform or Get Declined

- Declining call volume or weak revenue per case
- Thin or poorly documented pre-need bookings, or underfunded pre-need trusts
- Insufficient operator experience in funeral service
- Incomplete licensing or regulatory documentation
- Submitting to lenders unfamiliar with funeral home or death-care industry underwriting

## Final Perspective

Funeral home financing in 2026 sits inside a sector managing genuine structural change — cremation's continued rise — from a position of real strength: strong dedicated SBA lending, active consolidators at every scale, and a large, fragmented base of independent operators. The operators who fare best are the ones treating the cremation shift as a service-mix problem to solve, not a threat to absorb passively.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Declining call volume, an underfunded pre-need trust, and mismatched lenders are among the most common reasons otherwise solid funeral home financing requests lose time, money, and momentum.

YOUR NEXT STEP

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